



Absa Bank Kenya PLC

1H 2020 Earnings

27 August 2020



(absa)



Operating environment

4



Financial performance

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2H 2020 Priorities

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Agenda

A square image with a pink-to-purple gradient background. In the lower-left corner, there is a faint, artistic illustration of a landscape with mountains and a body of water.

01

**Operating
Environment**

A square image showing a high-angle view of a city skyline at sunset or sunrise, with the sun low on the horizon and its light reflecting on the water.

02

**1H 2020
Financial
Performance**

A square image showing a person's silhouette from behind, looking out at a large crowd of people holding up lit phones or cameras, creating a bokeh effect of light.

03

Outlook

A square image showing a close-up of a person's hand, with fingers slightly curled, against a dark background.

04

**2H 2020
Priorities**

Operating Environment

Jeremy Awori
Chief Executive Officer

(01)

COVID Response: We are navigating an uncertain operating environment, as we transition through COVID: 4 top of mind elements have emerged

Subdued Global Macro			Subdued Local (Kenya) Macro's		
	2019	2020		2019	2020
Global GDP	\$86,599bn	↓	GDP	\$89bn +5.4%	↓ -0.3%
Oil	\$63.5	↓ \$40.27 (As at end of June 2020)	Inflation (12-month)	5.8%	↓ 4.9%
Gold	\$2,032/oz	↑ \$1,783/oz (As at end of June 2020)	Import cover	5.7 Months	→ 5.04 Months
SSA growth	3.1%	↓ Contract -3.2%	Currency	101.3	↓ 106.5 (As at end of June 2020)
SSA inflation	8.38%	↑ 9.32%	Unemployment rate	9.1%	↑ Job Loses
Macro threats		⚠ Covid-19	Tourism industry growth		↓
			Other Macro factors		⚠ Covid-19

Therefore 4 things that we are mindful of...

1. Business Continuity in light of COVID
(Remaining accessible and open for business)

2. Non-performing Loans and portfolio quality
(Timing portfolio stress)

3. Capital adequacy
(Securing broader balance sheet strength)

4. Risk-on vs Risk-off trade-off through 2020/21
(Timing the recovery and growth cycles)

COVID Response: Employee safety and wellness has been a top most priority

Daily Self Screening

completed by colleagues to fast track treatment and care in case of need

Distribution of PPEs

to mitigate the risk of transmission in the working environment

Enhanced our cleaning and sanitation procedures

to allow for regular and thorough cleaning and disinfection of shared spaces

Wellness support partnering with wellness players for care calls to staff on overall wellbeing and help manage anxiety levels

Continuity Management

Instituted rotational teams to ensure continuity in case of adverse infection rates

Driving productivity through digital tools

and broad based virtual methods for enhanced daily communication with colleagues

Support to kit home offices with office suitable furniture and PC's

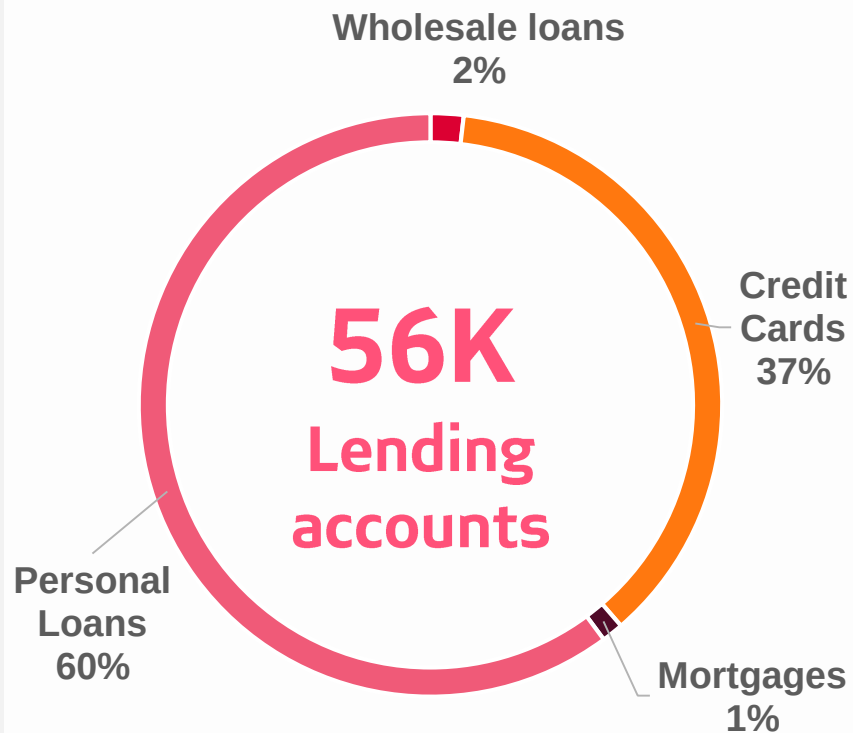
60%

of colleagues enabled to work remotely

56%

of colleagues "permanently" working from home

COVID Response: We have rolled out a comprehensive support program for our customers and clients



Repayment holiday extended to 40%+ of total loan accounts



Representing 28% of the loan book

“Bernard Chege – Vista Packaging Getting a bank that understands you, listens to their clients and tells you they have your back is really important at this time”

“Charles Ndung’u – Wholesale shoe dealer in Kamukunji In a way, the relief is like a cushion which has provided us a resting place”

“Zena Hassan – Anez Catering It was a big relief considering I was to pay my monthly commitment with no cash flow”

COVID Response: We have elevated our focus on operations to ensure uninterrupted business continuity

Elevated

Technology and cyber surveillance to Sev1

99.8%

Uptime on Alternate Channels

+12

improvement in our Branch NPS Score to 52

Instituted

rotational working arrangement for back-office

100%

of branches open

30%

improvement in onboarding Turn Around Time

COVID Response: We have focused our force for good efforts to protect lives and livelihoods



50m Absa in involvement and contribution to COVID-19 fund



Food donation:
1. Laikipia county-over 600 families
2. Eliud Kipchoge Foundation-over 300 Athletes

Building out the SME Ecosystem: KES 3.6 bn advanced to SMEs with over 10 thought leadership sessions



4 national hospitals supplied with 210K masks – KNH, KUH and Coast General



13m shilling for shilling WEMA Force for Good colleague fund



200K masks to Boda and Newspaper vendors & We have donated umbrellas to over 4000 policemen across the country

COVID Response: We have continued to build our brand for local relevance



Absa Cares



We are open for business –driving business imperatives (Absa one, Card, SME lending)



Thought leadership –SME Webinars & New Gold



Colleague –Fostering pride through WEMA force for good

Key pillars of our brand building



Absa Cares



We are open for business-Customer at the center



Consistent communication and thought leadership



Customer at the center



Focus on colleagues

Growth in our Brand Measures

- Total Brand Awareness from 53% to 65%
- Connection from 9 to 13%
- Relevance from 15% to 16%
- Actively involved in society from 31 to 35%
- Main bank 1% to 3% exceeding Barclays which was at 2%
- Usage from 2% to 6%

COVID Response: Our Focus is now shifting from securing our operations to repositioning our long-term strategy

Phase 1 Response : March to June 2020 : Business Continuity



Employee Wellness



Operations continuity

Phase 2 Response: June 2020 onwards: Strategy reset

Our overarching goal is to re-position our business model through 4 key design pillars

1. Digital Transformation



2. Optimizing financial resources for growth



3. Cost Efficient Business model



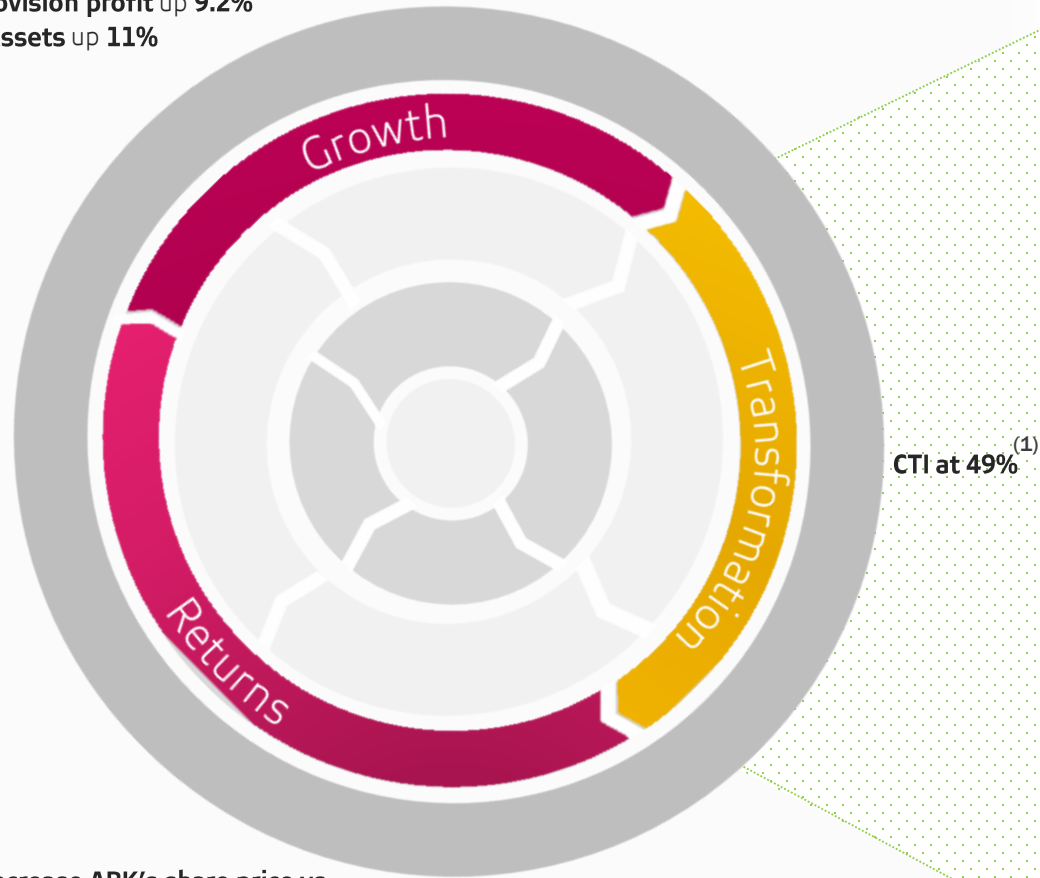
4. Brand Relevance and Sustainability



Strategy update: We have successfully concluded the transition programme on time and on budget

Strategy update (and principle measure 1H 2020)

Pre-Provision profit up **9.2%**
Total Assets up **11%**



39% increase ABK's share price vs
7% industry in the period 2018 - 2019

25% drop for ABK's share price vs
26% drop for industry in 1H 2020

Transformation update

Separating from Barclays PLC was one of our priorities this year and has been successfully concluded.

- Relocated 91 systems from Barclays PLC with significant enhancements to support customer experience, with some entirely new technology projects
- Delivered 166 projects across the change program
- Rebranded 178 locations and all our legal assets including changing of our trading ticket at the NSE
- Implemented a colleague change program on new Absa values and culture and kitted 2000 colleagues
- Launched 12 new propositions over the last 3 years focused on customer experience, with most underpinned by new technology

The project size and complexity were unparalleled and first of its kind for the Kenya's banking industry



1H 2020 Financial Performance

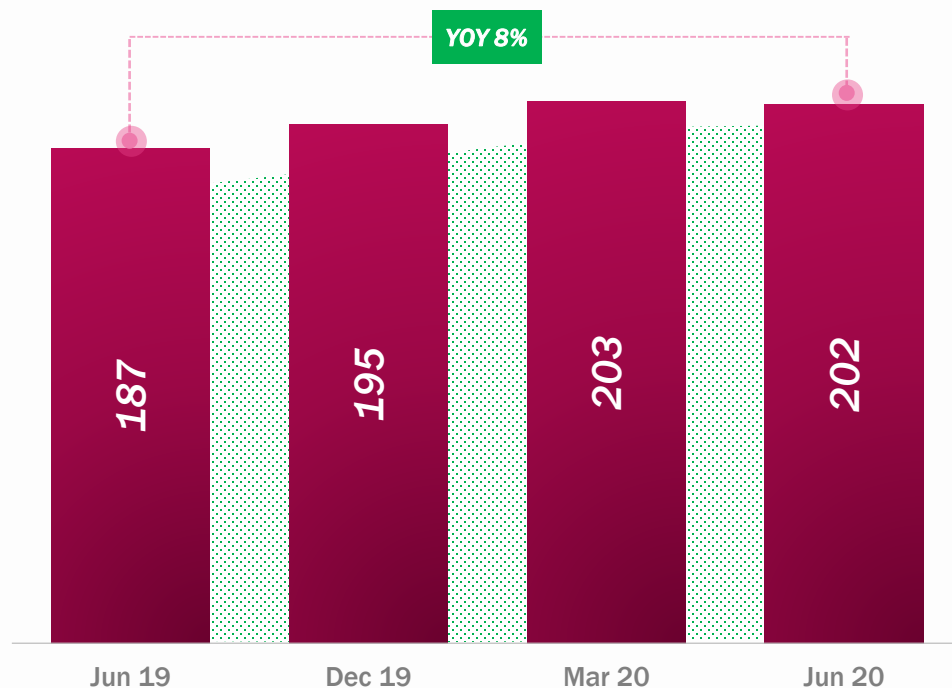
Yusuf Omari
Chief Finance Officer

(03)

1H 2020 Financial Results: Growth in balance sheet across all business segments

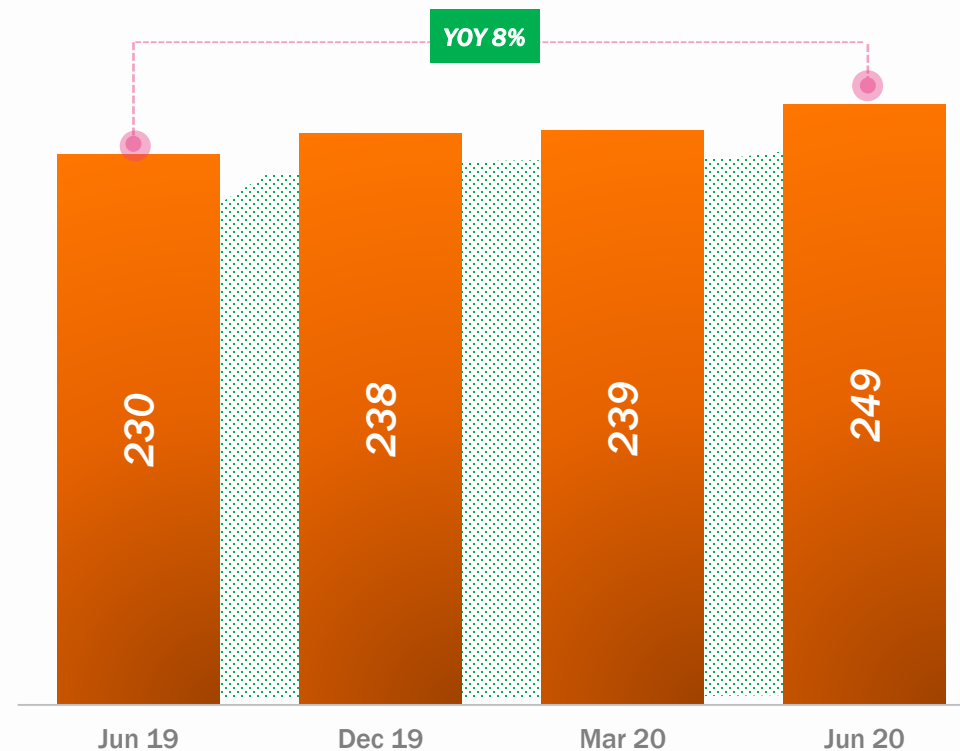
(In KES bn unless stated otherwise)

Customer Loans and Advances



- LDR of **81%**
- Government securities & trading book increased by **17% on a YoY basis**

Customer Deposits

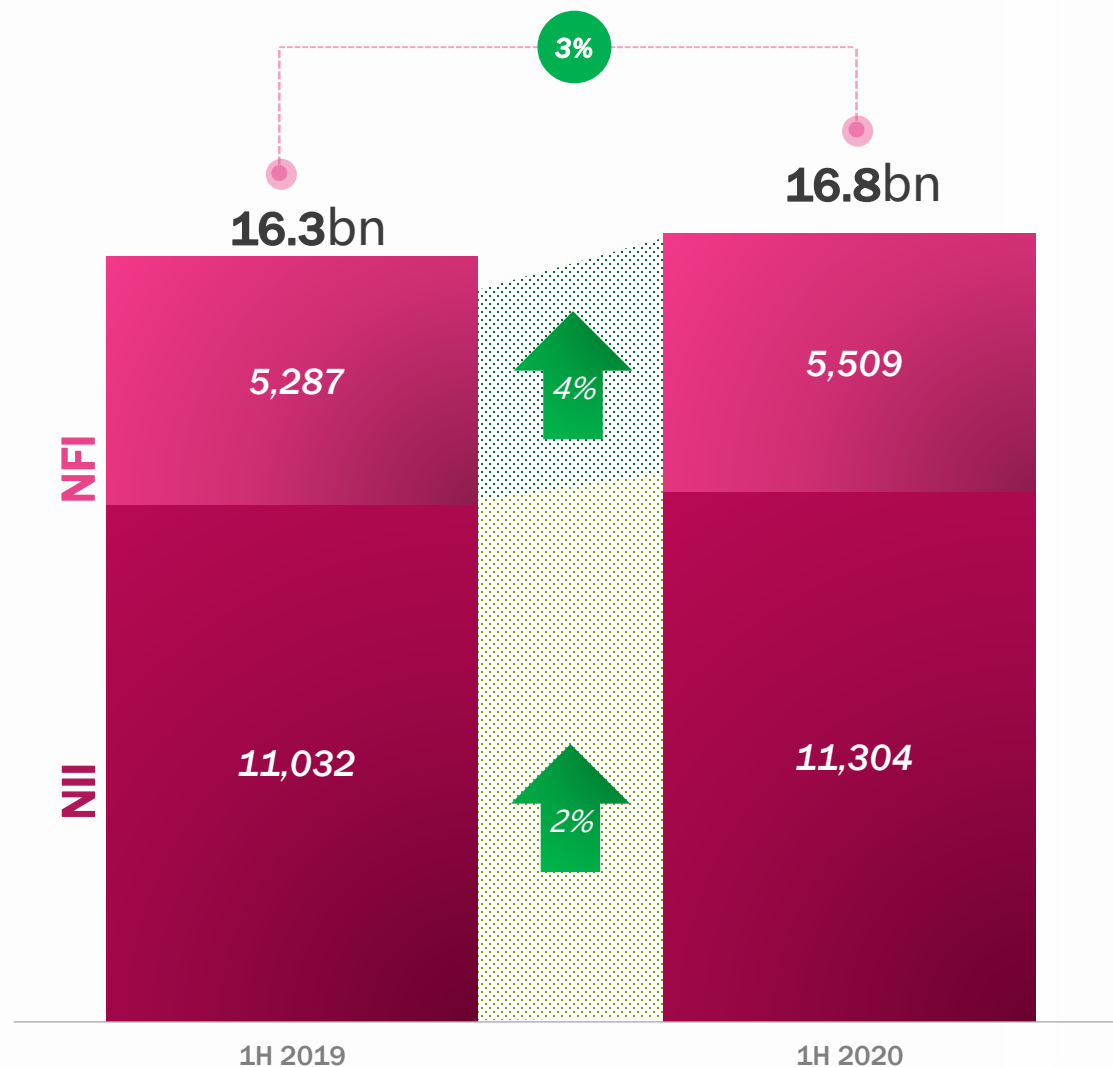


- Focus is on attracting **cheaper deposits** to lower the cost of funding

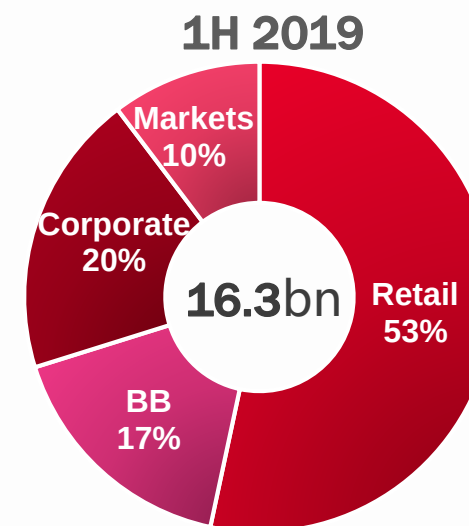
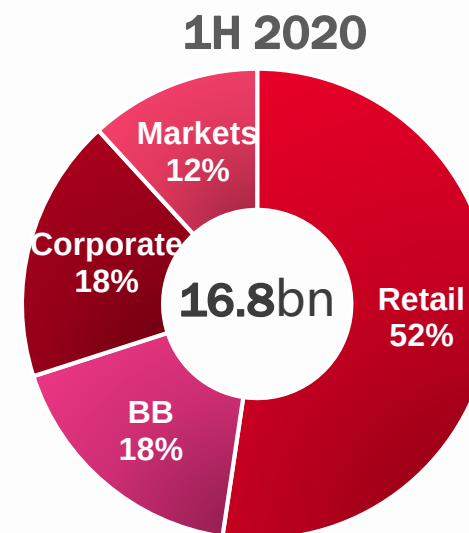
1H 2020 Financial Results: Income growth boosted by Non Funded Income (33% of total revenue) and new revenue streams

(In KES bn unless stated otherwise)

Absa NII and NFI

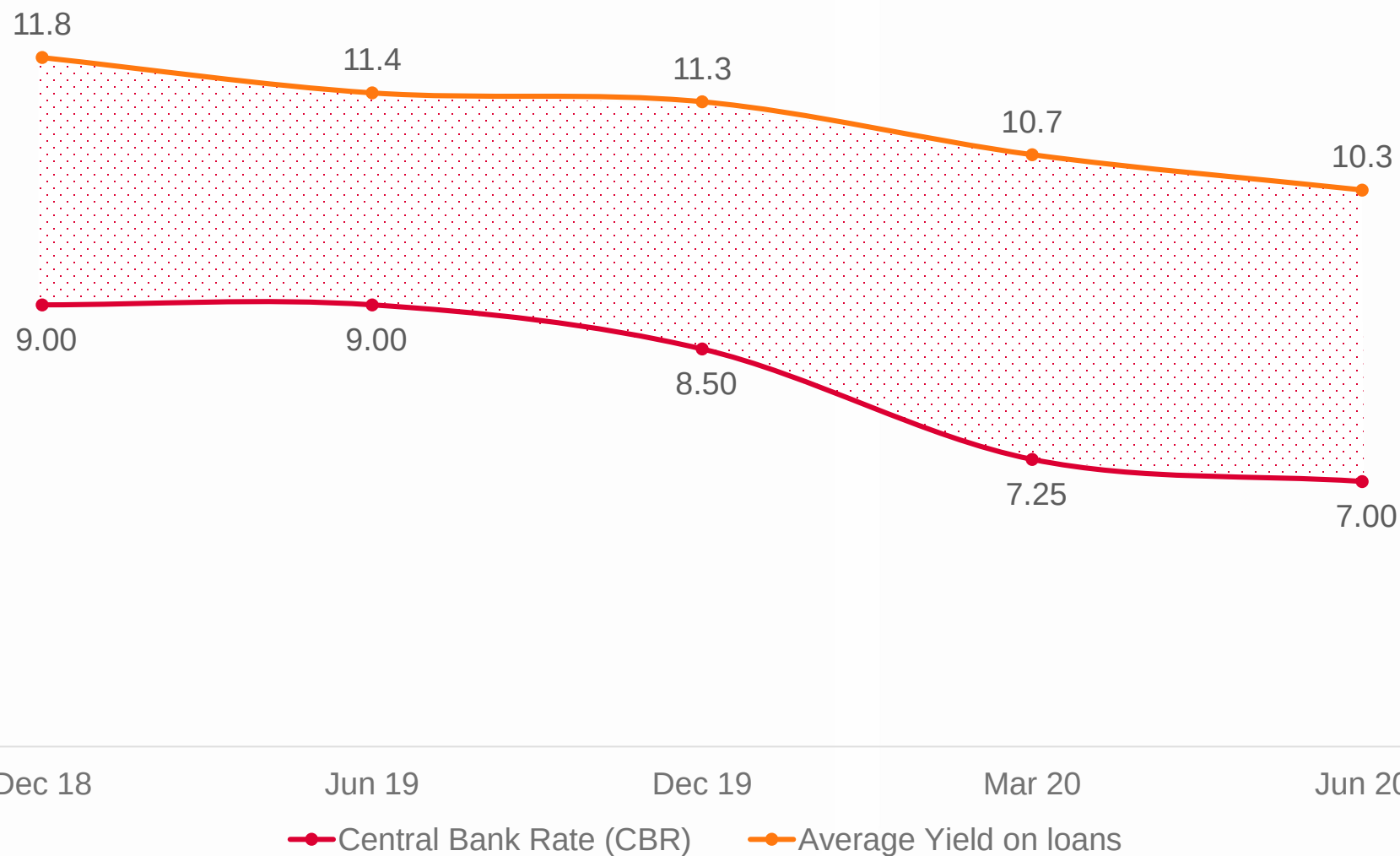


Income contribution by business



1H 2020 Financial Results: CBR drop impacting our yields.. Over 100bps drop affecting our revenues growth

Yield vs CBR movement (%)

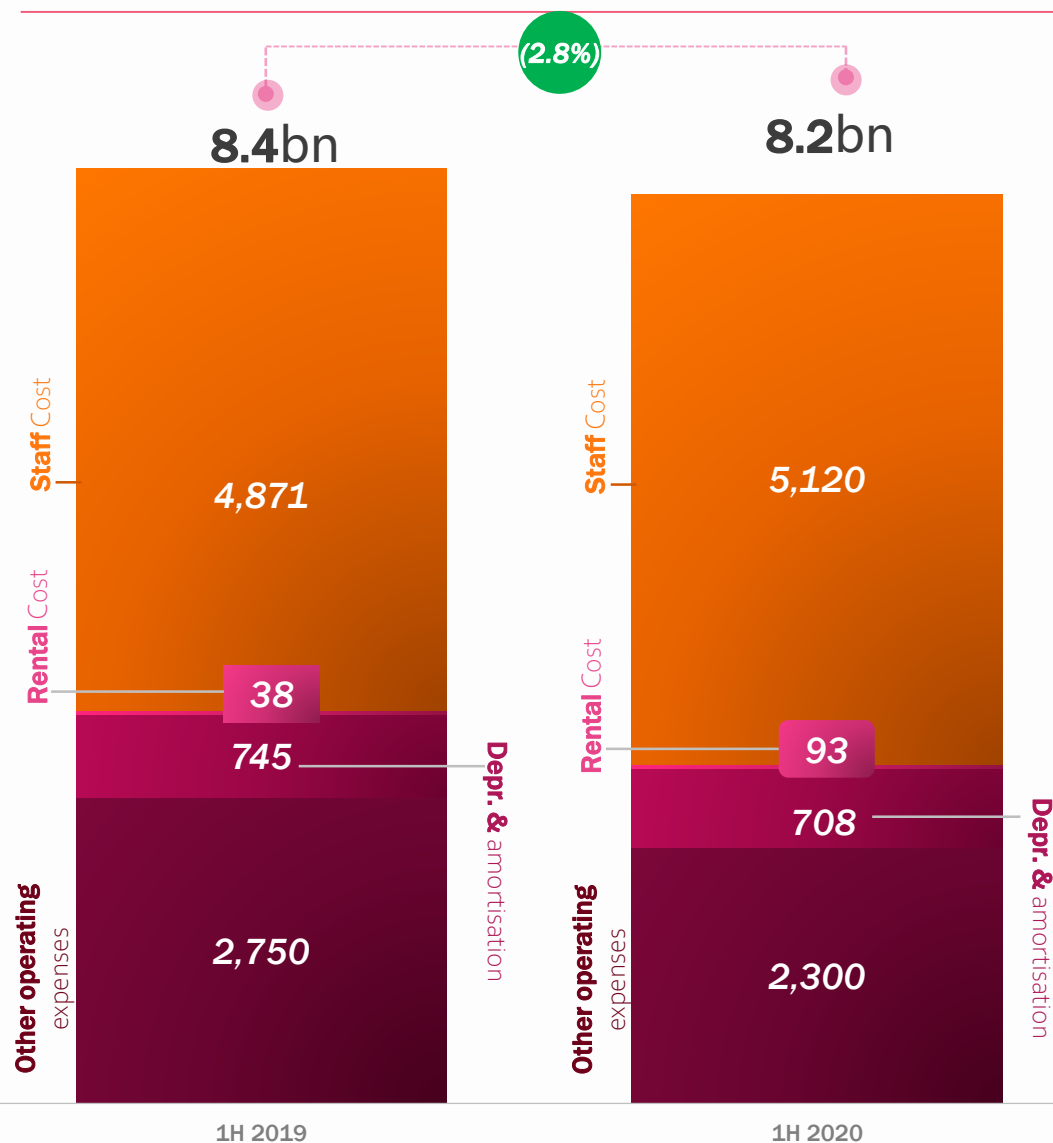


As a responsible financial partner, we have been repricing the book and passing on the benefits to our customers.

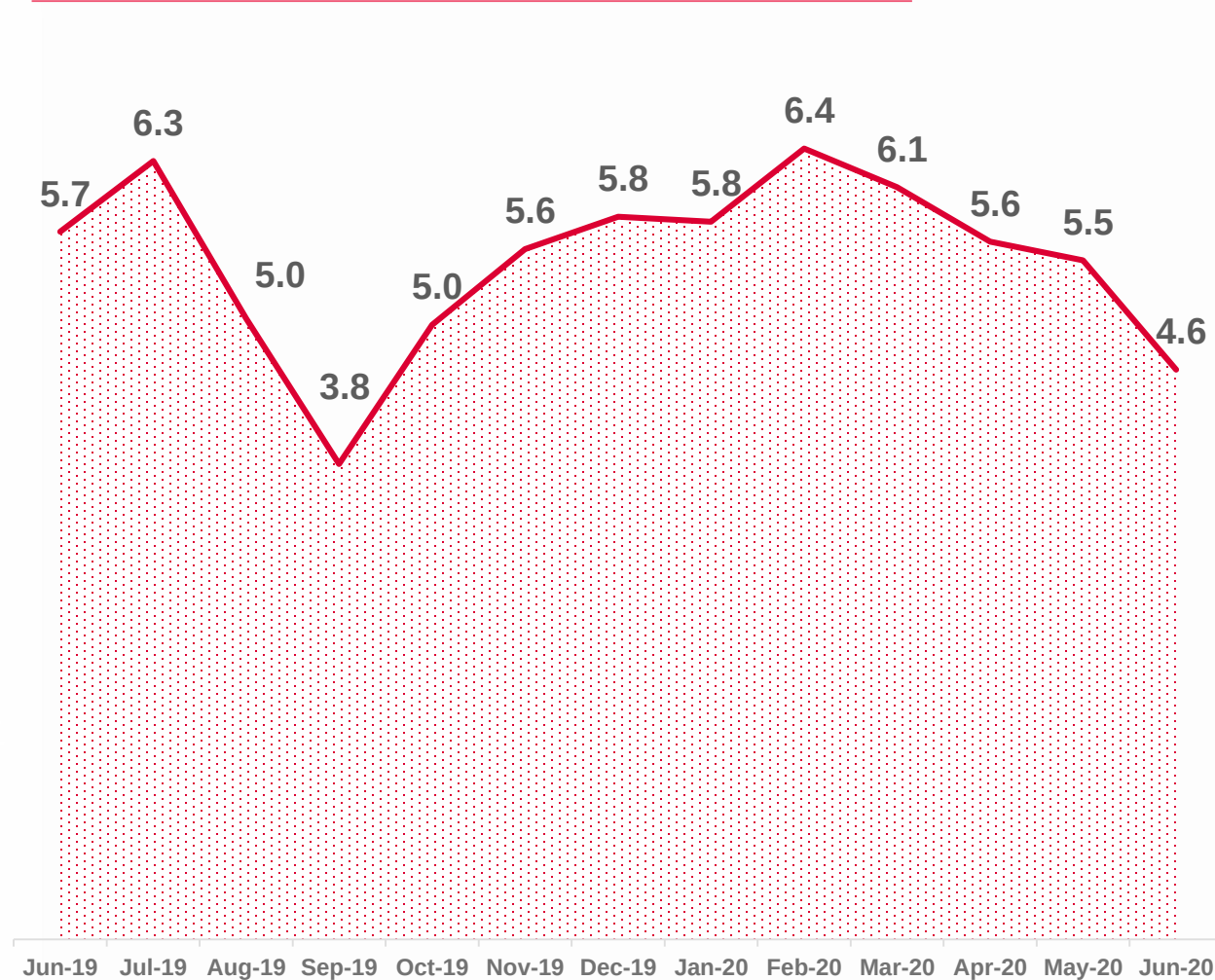
1H 2020 Financial Results: Prudent cost management at 3% decline

(In KES bn unless stated otherwise)

Absa Cost : 1H 2019 – 1H 2020



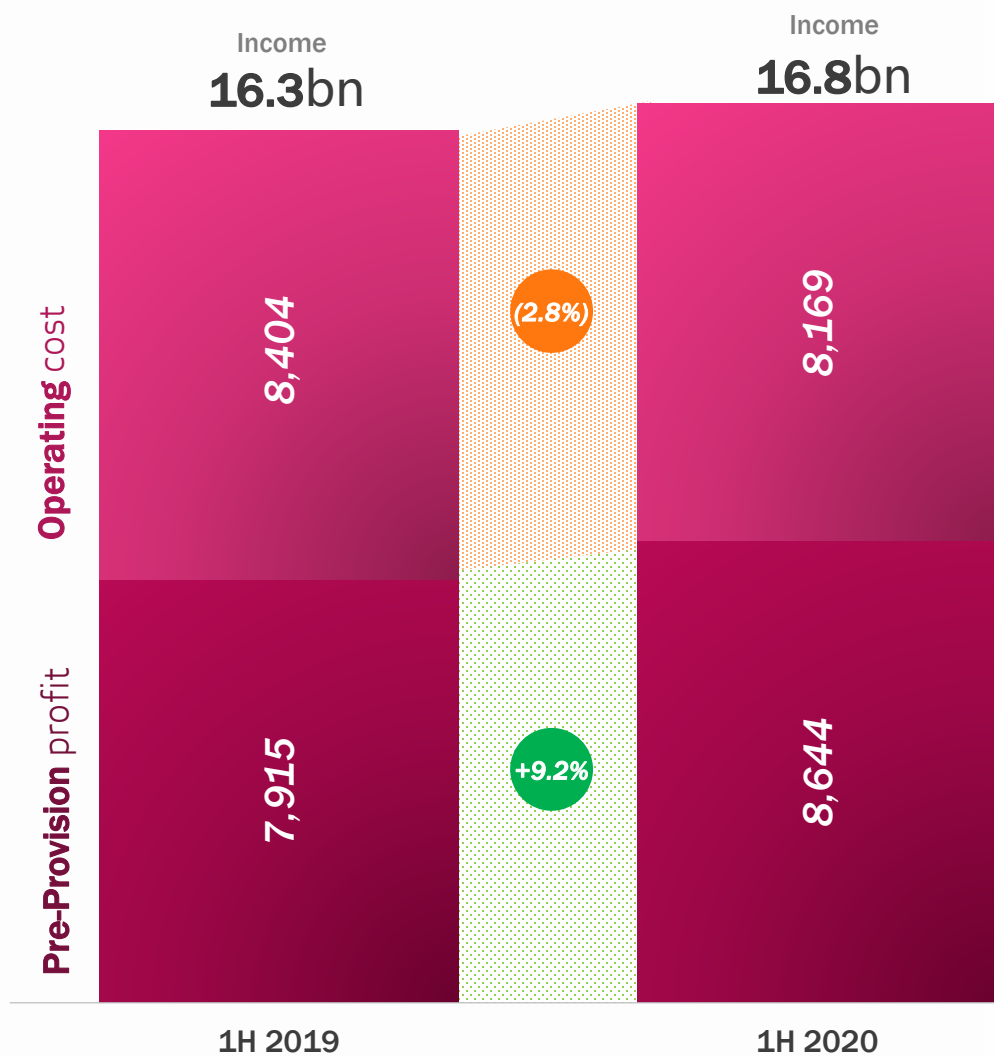
Inflation rate: Q2 2020 at 4.6%



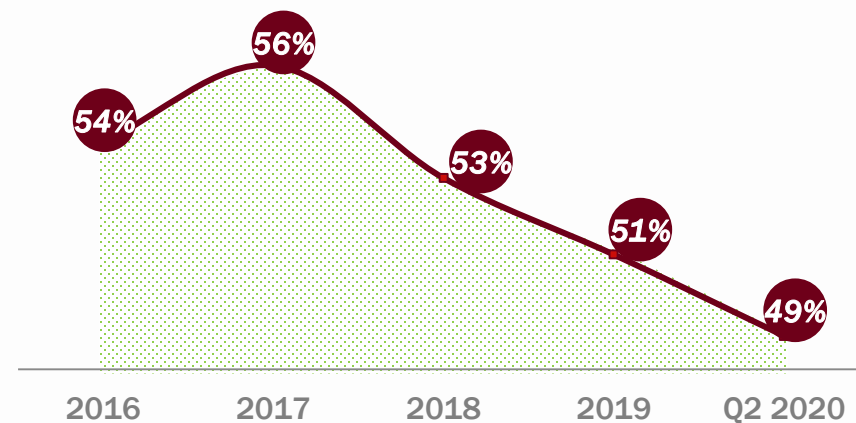
1H 2020 Financial Results: 9% growth in our Pre-Provision profit to KES 8.6 billion, supported by contained cost and growth in revenue

(In KES bn unless stated otherwise)

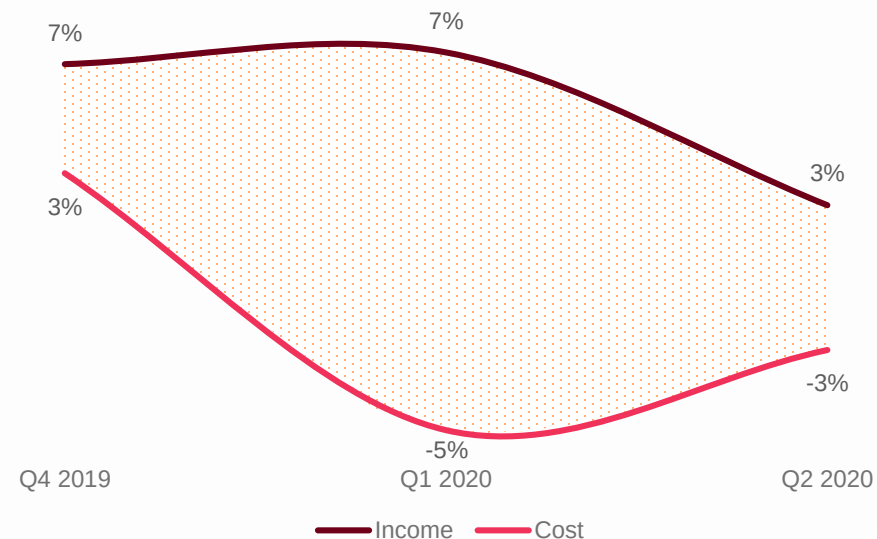
Operating profit and Operating cost: Q2 2020



Normalized CIR ratio: Q2 2020 at 49%



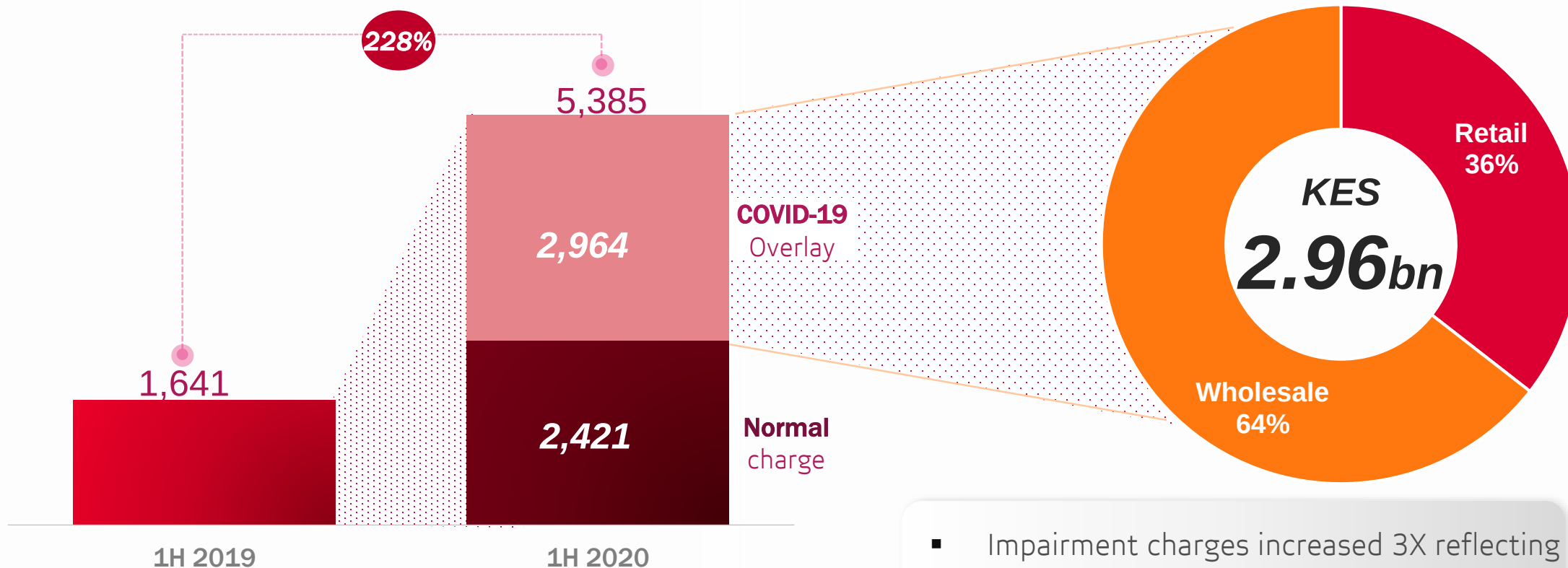
Normalized JAWS



1H 2020 Financial Results: Loan Loss Ratios increased with adequate coverage

(In KES mn unless stated otherwise)

Absa Impairment: Q2 2020



Loan Loss ratio	1.8%	5.4%
Net NPL ratio ⁽¹⁾	2.3%	3.1%

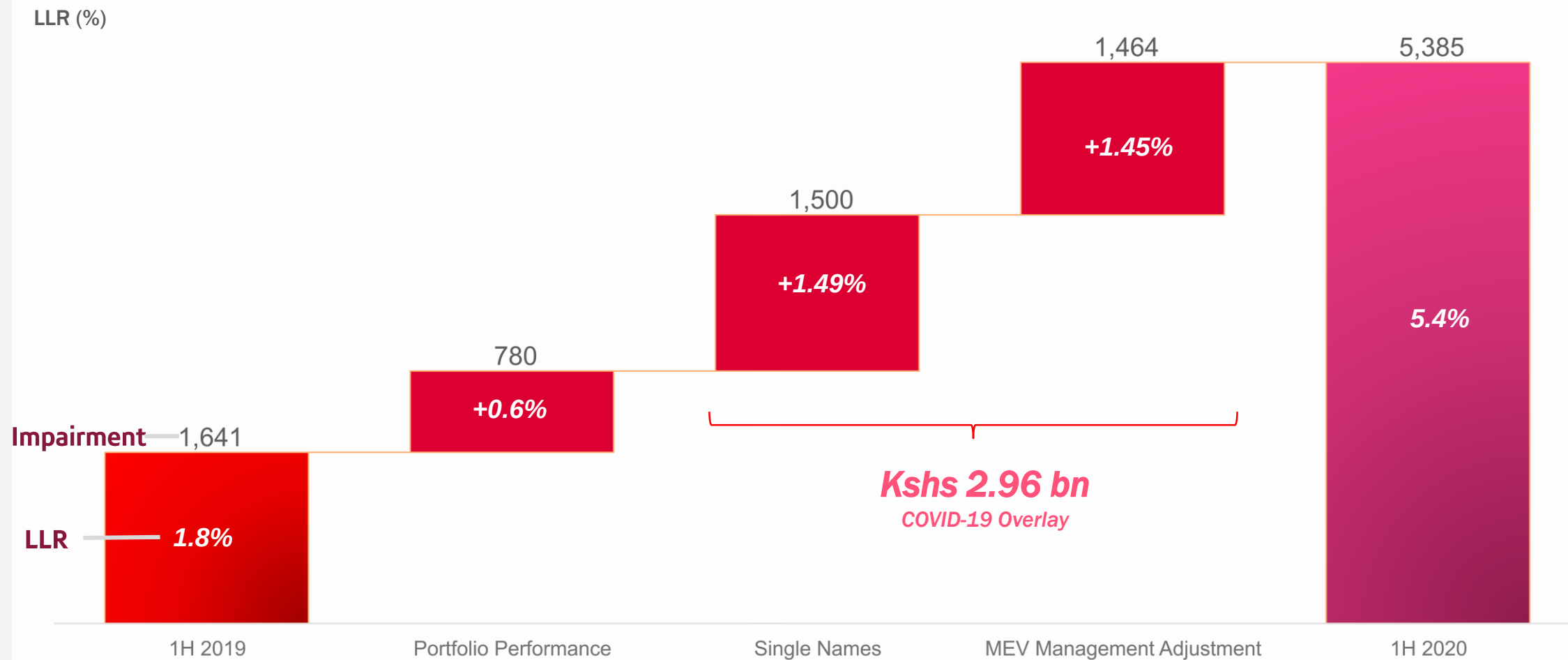
- Impairment charges increased 3X reflecting forecast deterioration in macroeconomic variables and single names in CIB
- Government support and stimulus expected to partly offset the impact

Notes:

1. Industry increased from 4.3% in 1H 2019 to 4.5% in 1H 2020

1H 2020 Financial Results: Impairment key drivers

(In KES mn unless stated otherwise)



1H 2020 Financial Results: Revenue grew by 3% with Pre-Provision profit growing by 9.2%

Financial Results 1H 2020					(In KES bn unless stated otherwise)
P&L	Indicators	1H 2020	1H 2019	Comment	
	Income	16.8 bn	16.3 bn	3% growth	↑
	NII	11.3 bn	11.0 bn	2% growth	↑
	NFI	5.5 bn	5.3 bn	4% growth	↑
	Normalized Cost	(8.2 bn)	(8.4 bn)	3% decline	↓
	Pre-Provision Profit	8.6 bn	7.9 bn	9% growth	↑
	Impairment	(5.4 bn)	(1.6 bn)	3x in light of COVID-19	↑
	Normalized PBT	3.3 bn	6.3 bn	48% decline	↓
	Exceptional Items	(1.7bn)	(0.6 bn)	197% growth	↑
Balance sheet	Total PBT	1.6 bn	5.7 bn	72% decline	↓
	Customer Assets	201.9 bn	186.6 bn	8% growth	↑
	Customer Liabilities	248.7 bn	229.6 bn	8% growth	↑
	Total Assets	391.8 bn	353.8 bn	11% growth	↑
	Government Securities Balance	133.8 bn	114.0 bn	17% growth	↑

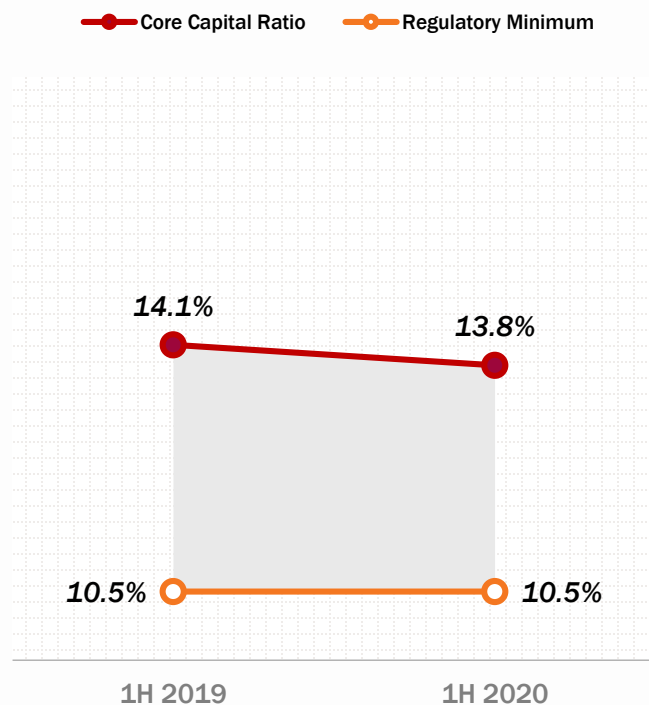
1H 2020 Financial Results (Key Ratios): CIR showing marked improvement, with industry-wide margins under pressure, loss loan ratio impacted by Covid 19 environment

Key ratios performance			
Indicators	1H 2020	1H 2019	B/(W) vs. PY
Cost to Income Ratio (adjusted) ⁽¹⁾	49%	51%	Marked improvement (200% bps) 
Loan Loss Rate	5.4%	1.8%	Adversely impacted by impairment provisions 
Net Interest Margins	7.7%	8.3%	Yoy CBR drop impact 
Yield on Loans	10.3%	11.4%	Yoy CBR drop impact 
Cost of Funds	2.7%	3.0%	Better than prior period 
Coverage Ratio	64%	73%	Adequate coverage ratio 

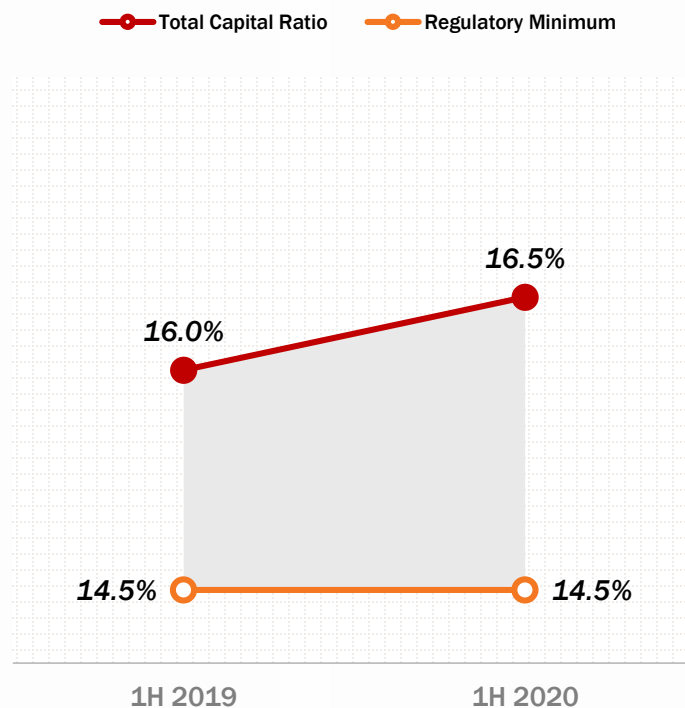
Notes: 1. Exclusive of costs incurred to meet separation from Barclays PLC

1H 2020 Financial Results (Key Ratios): Strong capital and liquidity ratios to support future growth

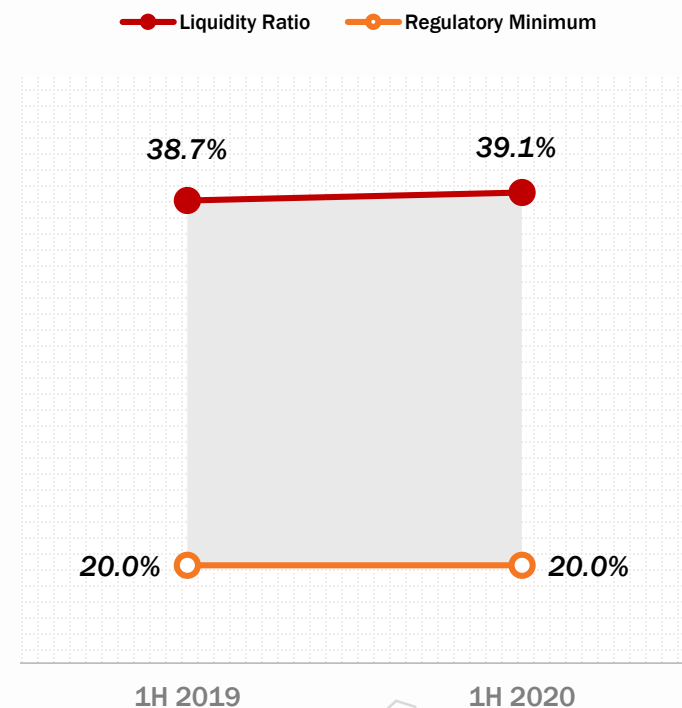
Core Capital Ratio



Total Capital Ratio



Liquidity Ratio



Outlook

5 Key Insights

Moses Muthui
Country Strategy Director and
CIB Finance Head

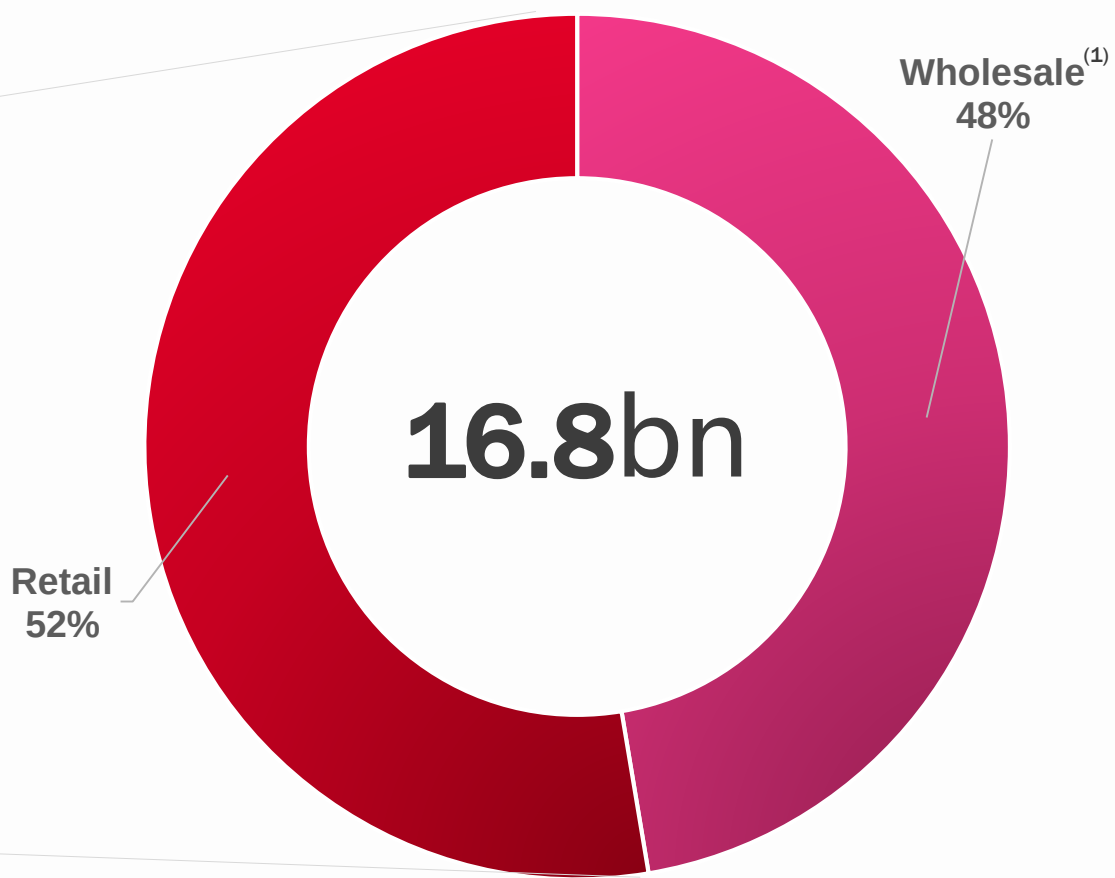
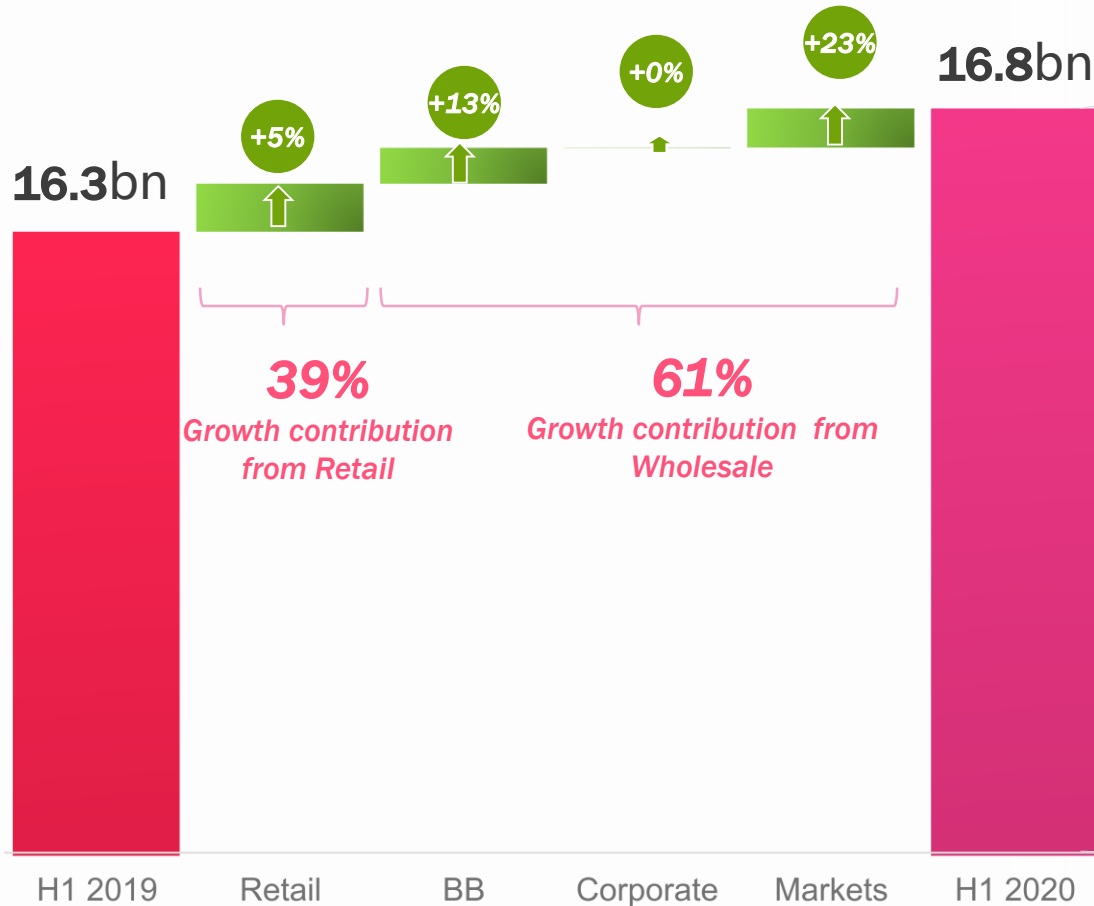
(04)

1. Growth Diversification: Revenue diversification towards a 50/50 Retail/Wholesale split could provide a more predictable financial profile during the transitionary cycle

(In KES bn unless stated otherwise)

Income Growth (and growth contribution) by business 1H 2019 vs 1H 2020

Income distribution 1H 2020



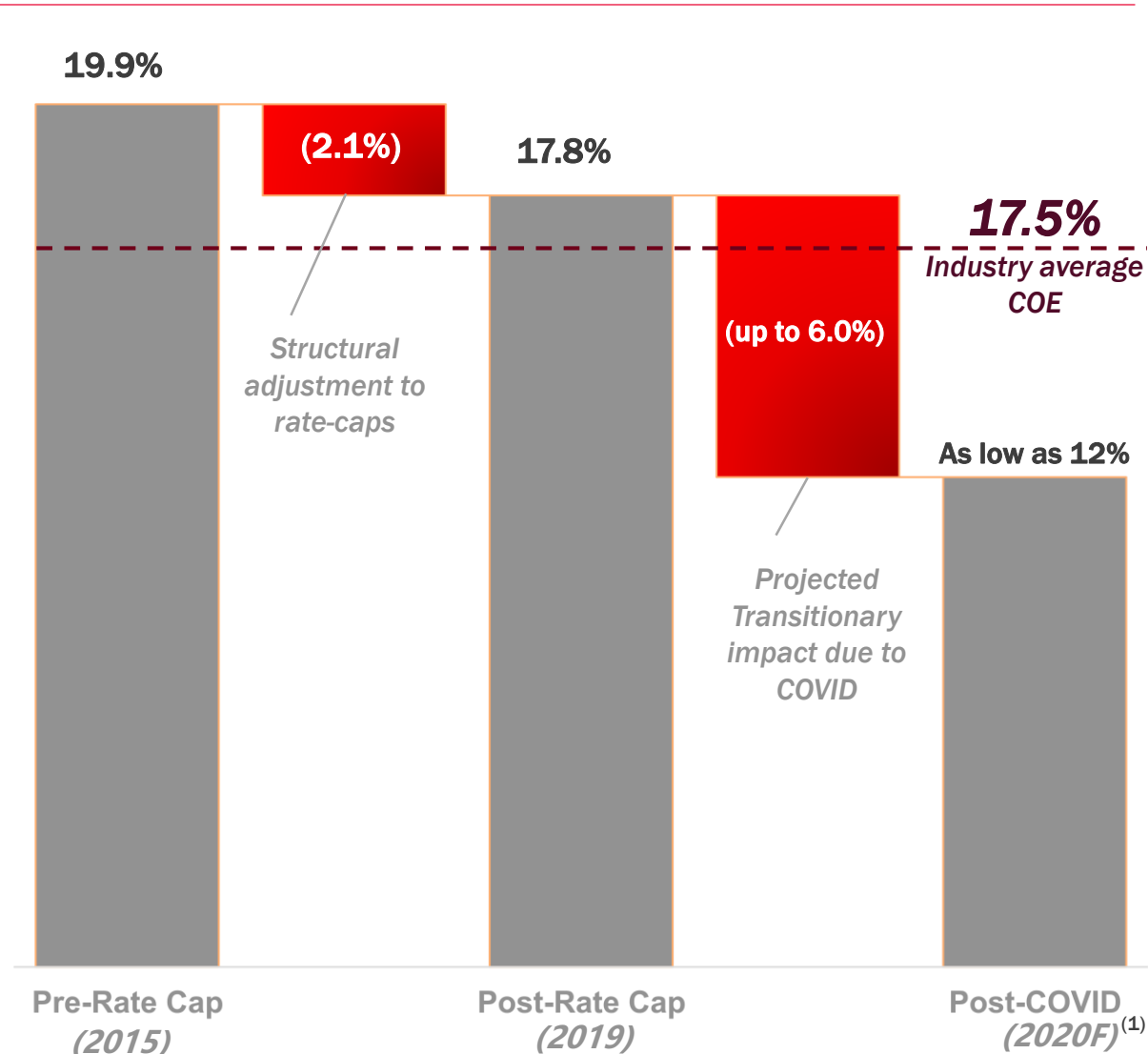
Notes:

1. Wholesale comprises of Business Bank and Corporate and Investment Bank

2. Returns:

Correction of ROE's anticipated – only – into the medium term (2021+)

Industry ROEs⁽¹⁾



Notes:

1. Absa Research

Impact of Rate Caps on returns

(P&L largely net-neutral, Capital net-positive; ROE above COE)

- Revenues** Industry revenues reduced by 3% in year 1 and grew single digits thereafter partly offset by increase in fee revenue
- Impairment** Broadly neutral impact given focus on low risk sectors and customers
- Costs** Industry repositioned for efficiency mainly through low cost service channels

A rate-capped portfolio (Back Book) was carried into the COVID period, therefore, presenting a further revenue downside for banks that are repricing their back books in line with reduction in CBR. As responsible lenders, at Absa we have been repricing loans as CBR reduces.

Impact of COVID on returns

(P&L significantly net-negative, Capital net-negative; ROE below COE)

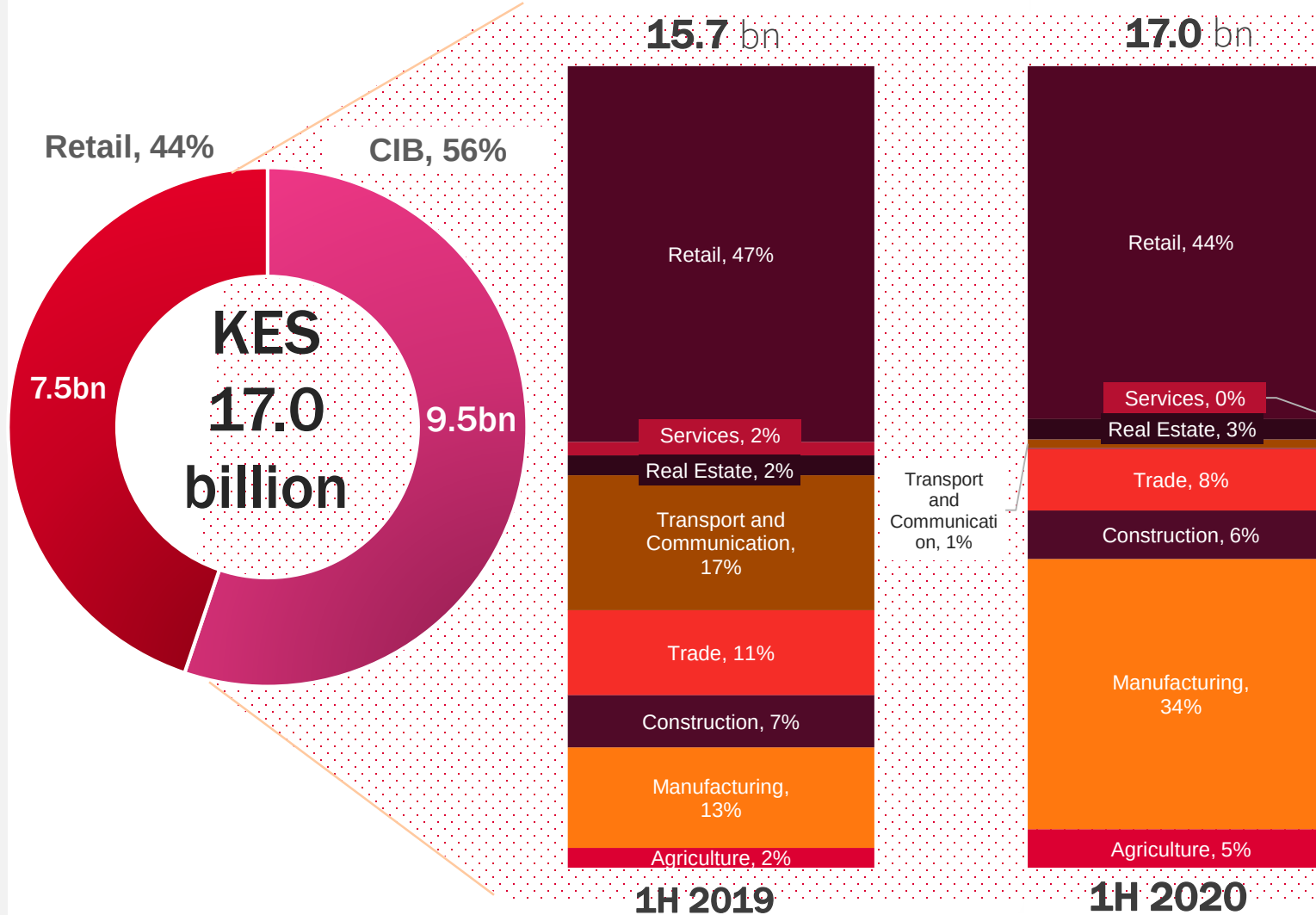
- Revenues** Reduced revenue streams due to reduced trading activity, response to COVID and lower CBR
- Impairment** Significant increase due to general provisions and COVID overlays
- Costs** Accelerated cost reduction programs and cost avoidance related to low activity

3. NPLs: Steady NPLs (with increased provisions) a sign of portfolio resilience:

Total Gross NPLs broadly unchanged and phase 1 repayment holiday operations largely concluded

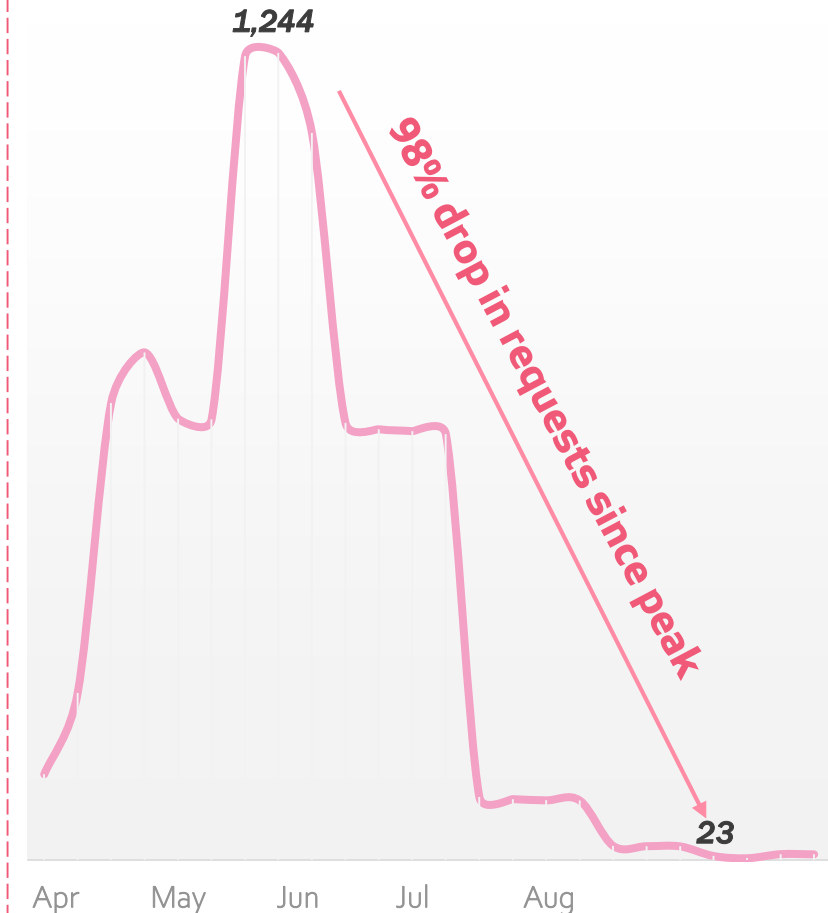
(In KES bn unless stated otherwise)

Gross NPLs (Steady progression, single names in CIB)



We continue to offer support with new requests reducing

Daily requests for payment holidays have reduced by 98%

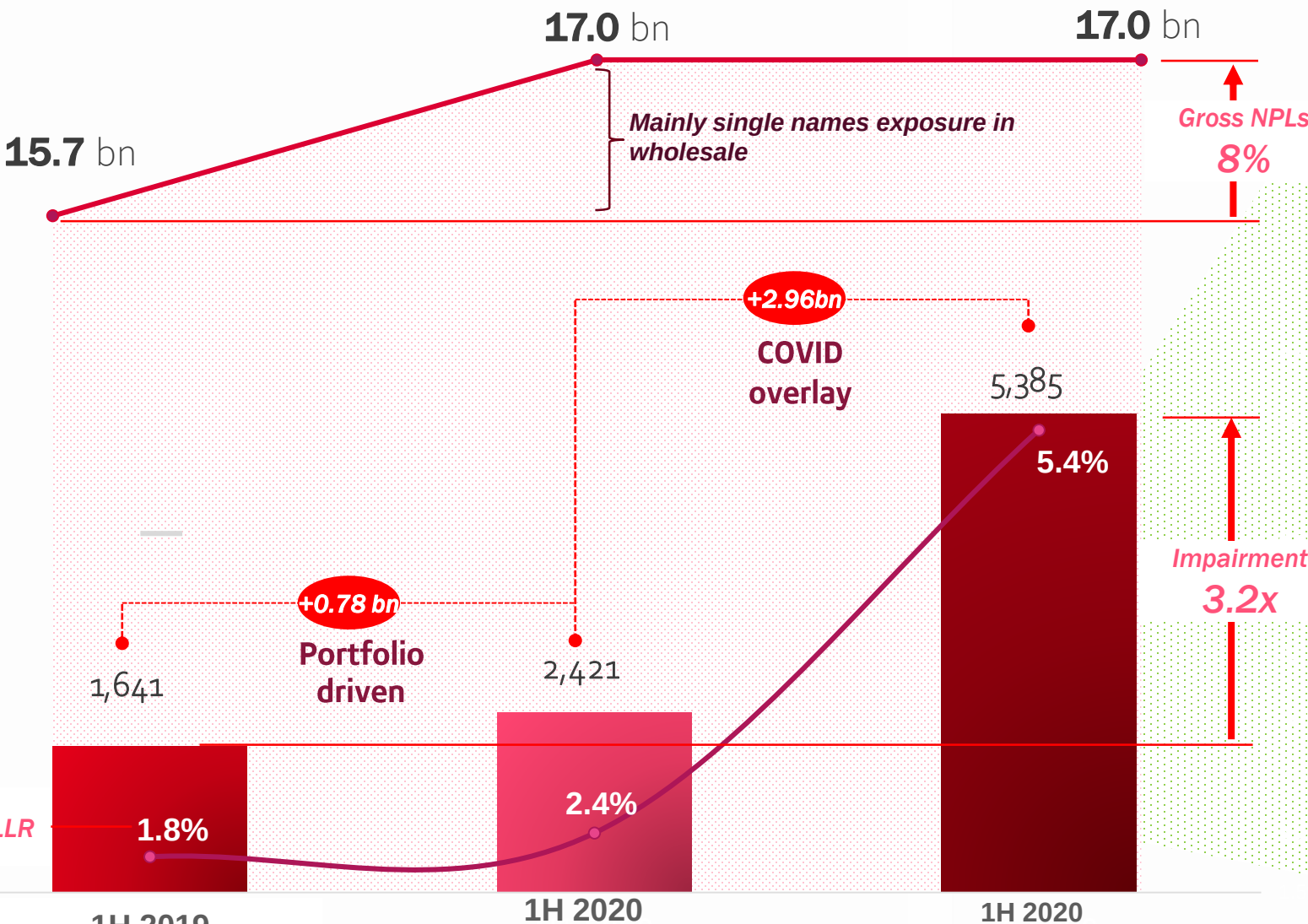


4. Approach to (and level of) provisions and correlation between NPLs and LLRs

A case of trade-off between short-term profitability and medium-term resilience

(In KES mn unless stated otherwise)

Absa Bank Kenya PLC: Gross Non-Performing Loans, Provisions and LLRs



Key Facts

- NPLs increased by 8%, mostly due to a single names exposure, However impairment has increased 3 fold, implying provisioning for PL's not necessarily NPLs
- KES 2.9 bn COVID incremental impairment, as a result of discretionary judgement on future macros

Provisional Impairment: Traditional provisioning

- Short-term upside and higher reported EPS
- Short-term upside and higher reported CET1
- Medium-term downside on earnings and capital, in the event macros deteriorate

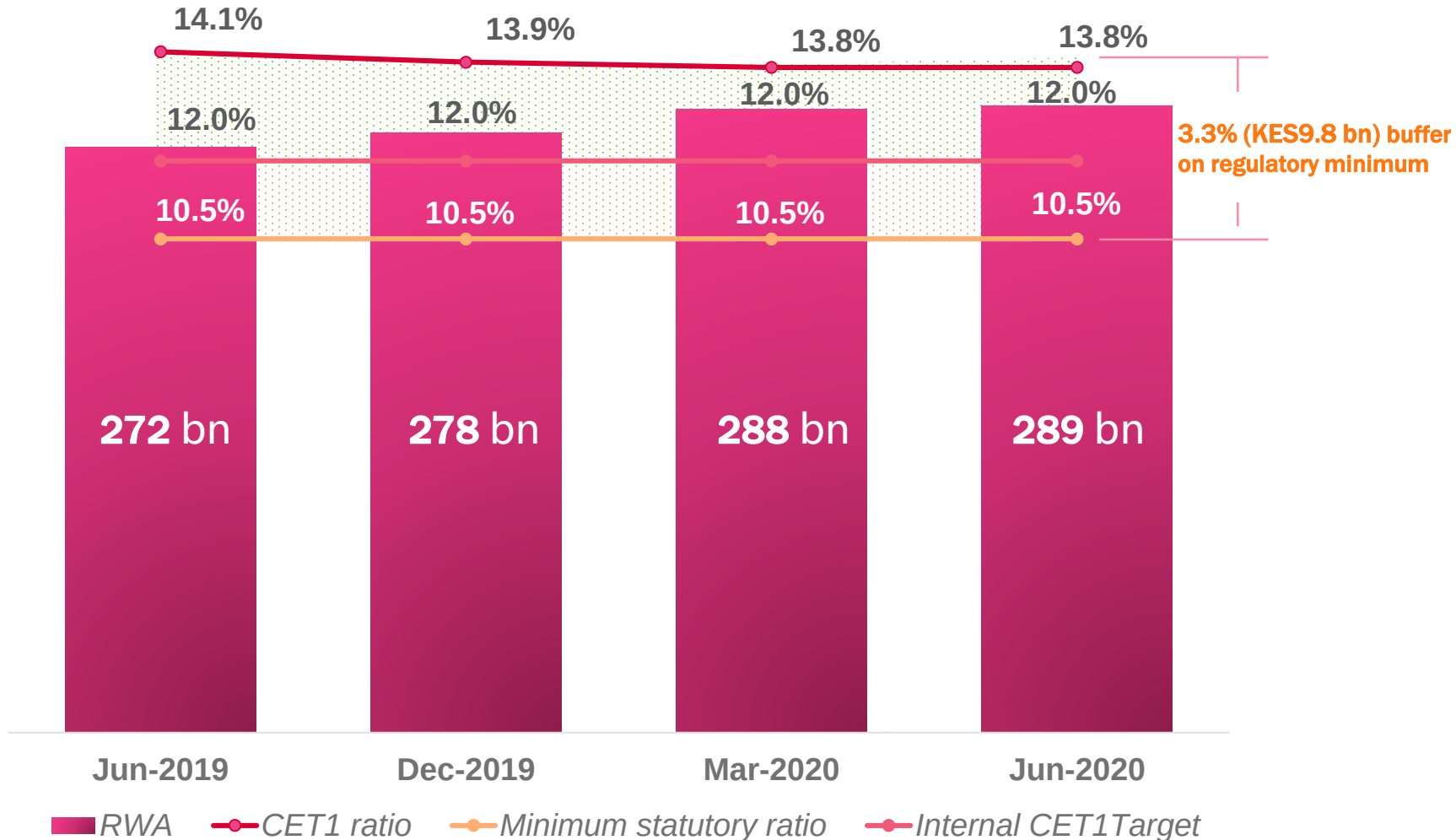
Reported Impairment: Post COVID overlay

- Short-term downside and reduced EPS
- Short-term upside given stress tested capital
- Medium-term upside on recoveries and impairment releases in the event macros normalise
- Medium-term protected downside in the event macros deteriorate

5. Capital Strength:

Stress Testing capital to re-position for medium-term growth, rather than medium-term survival ⁽¹⁾

Strong capital position with capital ratios secured, despite extreme COVID take-on provisions



- We are well capitalized with sufficient buffer of 3.3% post taking on 228% increase in provisions and targeting to remain above internal trigger through the cycle despite anticipated balance sheet expansion

Notes: 1. Unlike the Global Financial Crisis where banks were catalysts for the crisis, and needed balance sheet repair for survival, Governments anticipate banks to underwrite the recovery from COVID, therefore the need to stress test and strengthen bank capital positions, for medium-term growth

In Conclusion: The drivers of valuation may shift during the transitionary cycle

Pre-COVID period

Income Growth

Statutory EPS Growth

ROE

DPS

COVID Transitional period

Pre-provision Profits

CET1

Approach to (Level of) Absolute provisions

Positive P&L and Balance Sheet JAWs

2H 2020 Priorities

Jeremy Awori
Chief Executive Officer

(05)

Our Key priorities for 2H 2020



**Business
Continuity**



**Managing
Macro
Risks**



Protecting
Our core franchise



Repositioning our
business model
(Strategy Reset)



(Disclaimer)

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Absa Bank of Kenya. Words such as "anticipates", "estimates", "expects", "projects", "believes", "intends", "plans", "may", "will" and "should" and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Absa Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

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